

25STCV07613 25STCV07613

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I.

Background

This suit involves a property dispute.

Plaintiff sues among others Matthew Ray

Garberding and Summerchase Serenity LLC based on allegations that Plaintiff mistakenly transferred real property in a deed beyond that contemplated in the parties' negotiations, providing a basis for reformation and other relief.

In turn, Matthew Ray Garberding and

Summerchase Serenity LLC ("Buyer Cross-Complainants") sued Plaintiff and numerous other individuals and entities pursuant to claims relating the same properties/transaction.

Relevant here, the Buyer

Cross-Complainants sued Cross-Defendant First American Title Insurance Company ("First American") for Breach of Contract, Quiet Title, Declaratory Relief, Equitable Estoppel, Wrongful Denial of Coverage, and Violation of Civil Code Section 1102, which First American challenged on demurrer on October 1, 2025.

On February 17, 2026, the Court ruled on

First American's demurrer, which sustained the demurrer without leave to amend for all but one of the claims alleged against First American: Equitable Estoppel.

On April 6, 2026, the Buyer

Cross-Complainants filed a First Amended Cross-Complaint ("FACC") in response to the Court's February 17th Order. The FACC specifically alleges two causes of

action against First American—Equitable Estoppel and Negligent Undertaking—as well as generally alleging an additional nine causes of action against the “Seller(s) Cross-Defendants” without defining this term.

First American filed a demurrer to the FACC on May 5, 2026, arguing that (1) the first to ninth and eleventh causes of action in the FACC contravene the February 17th Order by alleging claims other than Equitable Estoppel against First American and (2) the Equitable Estoppel claim remains factually insufficient for demurrer purposes.

No opposition, reply, or notice of no opposition appears in the record. However, the record shows that on June 22, 2026, the Buyer Cross-Complainants submitted, and the Court received (though it has not accepted as filed) a Second Amended Cross-Complaint.

First American's demurrer is now before the Court.

II.

Demurrer

A. Requests for Judicial Notice

Pursuant to Evidence Code sections 451 and 452, subdivisions (c), (d), and (h), the Court takes judicial notice of the five exhibits attached to First American's demurrer. (Demurrer, RJN, Exhibits 1-4 [deed documents filed with County Recorder's Office], 5 [February 17th ruling].)

B. Discussion

1. First to Ninth and Eleventh Causes of Action: SUSTAINED, without leave to amend.

The Court finds in favor of First American.

Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court's order. (People

ex rel. Dept. Pub. Wks. v. Clausen (1967) 248 Cal.App.2d 770, 785 [leave to amend complaint does not constitute leave to amend to add new defendant].)

A new cause of action may be alleged following a sustained demurrer or judgment on the pleadings when the new claim “directly responds” to the trial court’s reasoning in sustaining a demurrer or motion for judgment on the pleadings. (See *Patrick v. Alacer Corp.* (2008) 167 Cal.App.4th 995, 1015 [amendment of derivative action against corporation that failed on demurrer to declaratory relief claim in new pleading permitted where demurrer was sustained based on issues related to standing properly raised in the declaratory relief claim].)

Here, as discussed in the Background above, the Court’s February 17th Order only gave the Buyer Cross-Complainants leave to allege a claim of Equitable Estoppel. (See *Demurrer*, RJN, Ex. 5, pp. 24-27.) As a result, the FACC’s eleventh cause of action, which alleges Negligent Undertaking against First American and certain DOES, is unauthorized as to First American per the Court’s February 17th Order. Moreover, because the Buyer Cross-Complainants did not file an opposition to the instant demurrer, no arguments are before the Court to the effect that this new cause of action responds to the Court’s February 17th Order. First American’s demurrer is thus SUSTAINED, without leave to amend, as to the FACC’s eleventh cause of action, as alleged against First American.

The FACC’s first to ninth causes of action, in turn, are alleged against “Seller(s) Cross-Defendants.” Because the FACC does not in any place define “Seller(s) Cross-Defendants,” it is patently uncertain from the face of the pleadings whether First American is contemplated as a “Seller(s) Cross-Defendant” by the FACC. As a result, the FACC’s first to ninth causes of action are uncertainly alleged, providing a basis for demurrer. (Code Civ. Proc. § 430.10, subd. (f) [A demurrer to a pleading lies where the pleading is uncertain, ambiguous, or unintelligible].) Given this uncertainty, and given that alleging these causes of action against First American contravenes the Court’s February 17th Order, First American’s demurrer is SUSTAINED, without leave to amend, as to the FACC’s first to ninth causes of action, as alleged against First American.

For the sake of clarity, the Court notes that it is not ruling upon the Buyer Cross-Complainants’ right to seek leave to amend their pleadings to allege new claims against parties in this action.

2. Tenth Cause of Action, Equitable

Estoppel: SUSTAINED, with leave to amend.

The Court finds in favor of First American.

In order to assert equitable estoppel, the following four elements must be present: (1) the party to be estopped must be apprised of the facts; (2) he must intend that his conduct be acted on, or must so act that the party asserting estoppel had a right to believe it was so intended; (3) the party asserting estoppel must be ignorant of the true state of the facts; and (4) he must rely upon the conduct to his injury. (*Sofranek v. County of Merced* (2007) 146 Cal.App.4th 1238, 1250.) "To establish estoppel as an element of a suit the elements of estoppel must be especially pleaded in the complaint with sufficient accuracy to disclose facts relied upon." (*Chalmers v. County of Los Angeles* (1985) 175 Cal.App.3d 461, 467.) "In order to constitute an equitable estoppel with respect to the title of property, it must appear that the party to be estopped has made admissions or declarations, or done acts with the intention of deceiving the other party with regard to the title, or with such carelessness or culpable negligence as to amount to a constructive fraud." (*Mott v. Nardo* (1946) 73 Cal.App.2d 159, 163.)

Here, the FACC alleges Equitable Estoppel against First American. However, as with their original Cross-Complaint, the Buyer Cross-Complainants' FACC does not allege that First American made admissions or declarations to deceive Cross-Complainants about title, nor does it allege that there was communication with First American with reference to the properties at issue in this action. At most, the FACC alleges that "[t]hrough its issuance of title insurance, its acceptance of the legal description, and its role within the title and escrow framework, [First American] engaged in conduct that reasonably led Cross-Complainants to believe that the title, as recorded, would be protected and defended if challenged." (FACC, ¶ 252.) However, such actions are not affirmative conduct alleging an intent to deceive, and the allegations in the FACC fall short of the obvious carelessness or culpable negligence needed for equitable estoppel to apply here given that, for example, the exhibits attached to the FACC show that efforts were made to reform the title documents at issue. (See, e.g., FACC, Exs. 26, 29.)

First American's demurrer is thus

SUSTAINED, with leave to amend, as to the FACC's tenth of action, as alleged against First American. (See Code Civ. Proc., § 430.41, subd. (e)(1).)

III.

Conclusion

Cross-Complainants Matthew Ray

Garberding and Summerchase Serenity LLC's demurrer is:

(1) SUSTAINED, without leave to amend,
as to the FACC's first to ninth and eleventh causes of action, as alleged against First American Title Insurance Company;

(2) SUSTAINED, with leave to amend, as
to the FACC's tenth cause of action, as alleged against First American Title Insurance Company.

Defendant is ordered to give notice.